

Factors	Note	Particulars
Investment Needs	17	• Parag Milk Foods - Regular Fixed and W/c investment • Hatsun Agro - Very High fixed capital investment • Heritage Foods - High fixed capital investment Thus, the industry shows high capital investment.

6. Outlook

Trends in Industry	18,19,20,21	• Rise of private players. • Direct procurement from farmers - no agents. • Companies have grown through M&A of regional companies. • Increase focus on nutrition by customers.
Industry-specific Risks		• Selling prices determined by co-operatives. • Supply issue with raw milk. • Difficulty in getting distribution space. • SMP Price fluctuations. • Changes in customer behaviour.
Growth Factors		• Vegetarian population with protein deficiency. • Rising share of organised sector. • Faster growth in value-added products. • Premiumisation. • Westernisation of meals. • Increase in eating-out population.
Variables for Success in Industry		• Procurement network stable. • Product mix (Value-added products) • Distribution Strength • Manufacturing Distribution • Branding